

Contract Intelligence

Annotation & Fine-Tuning Guide

Contract Classification · Clause Classification · Entity Extraction

Version 1.0 · May 2026 · INTERNAL — AI Team Only

1. Purpose & Scope

This guide is intended for AI engineers and annotation teams responsible for building training datasets and fine-tuning the Contract Intelligence classification and extraction models. It defines exactly how to label each contract type, clause type, and extracted entity.

For each item the guide provides: (1) identification signals — patterns that reliably indicate the label; (2) a positive example drawn from realistic contract language; (3) a negative example or confusion case showing what is similar but different; and (4) edge cases with explicit handling rules.

i This document complements the Taxonomy Reference (contract-taxonomy.json). Refer to that file for the complete presence matrix.

2. General Labeling Principles

2.1 Classification Hierarchy

Labels are applied at three levels, in order:

- Level 1 — Contract Type: classify the entire document into one of 9 contract types.
- Level 2 — Clause Type: classify each identifiable clause into one of 46 clause types + Other.
- Level 3 — Entity Extraction: extract structured entities from each identified clause.

2.2 Presence Values

Core	The clause is present and central to the agreement. Absence is unusual and should be flagged.
Optional	The clause appears in many but not all contracts of this type. Absence is normal.
N/A	The clause type is not applicable to this contract type. Do not label if found — re-examine contract type classification.

2.3 Annotation Rules

- Label at the document level for Contract Type — do not classify sections separately unless extracting exhibit/addendum types.
- A single block of text may contain multiple clause types (e.g., a 'Term and Termination' section may contain Renewal Term, Termination for Convenience, and Notice Period). Label each sub-clause separately.
- When uncertain between two clause types, choose the one whose primary signal is most explicitly present in the text. Document the ambiguity.
- Extracted entities must be normalized per the Entity Extraction section (Section 4). Raw text is not a valid entity value.
- Use "Other" for clause types not covered by the taxonomy. Include a plain-text description of the clause for taxonomy expansion review.
- Flag but do not skip edge cases. Edge cases are high-value training examples.

3. Debugging Fields

Three fields are attached to every classification output — contract type, clause type, and entity extraction. They are never shown in the product UI; they exist solely to support model debugging, error analysis, and active-learning sample selection.

3.1 Field Definitions

Field	Type	Cardinality	Purpose
confidence	float	Always present; range 0.0 – 1.0	Raw softmax probability assigned to the predicted label by the classifier. Not calibrated — use for relative comparison and routing only, not as an absolute probability.
evidence	string[]	1–3 items required when a label is assigned	Short verbatim or near-verbatim phrases copied from the source text that directly justify the assigned label. Must be present in the source; do not paraphrase.
ambiguity_flags	string[]	0–2 items; empty array if classification is clear	Short plain-text reasons why the classification might be wrong or a different label could be argued. Each flag should name the alternative label and the reason.

3.2 Populating confidence

Source	Raw softmax output of the classifier head. For LLM-based extraction: mean log-probability of the predicted tokens, converted to a 0–1 range.
Not calibrated	Raw softmax probabilities are systematically overconfident. A value of 0.97 does not mean 97% accuracy. Use confidence for relative ranking and routing, not as an absolute probability.
Thresholds	Suggested operational thresholds (to be validated on your data): > 0.85 Accept with low scrutiny 0.65 – 0.85 Accept; flag for spot-check < 0.65 Route to human review
With ambiguity_flags	High confidence + non-empty ambiguity_flags = likely overconfident prediction. This combination is a valuable signal for identifying miscalibration. Prioritize these samples in calibration reviews.
Entity extraction	For entity extraction, confidence is the mean token probability across the extracted span. A low span confidence with a high clause confidence means the entity boundary is uncertain.

3.3 Populating evidence

Rule 1	Extract 1–3 phrases from the source text. Phrases must appear verbatim (or with only minor normalization such as lowercasing) in the clause or document text.
Rule 2	Choose phrases that are the strongest discriminating signals — the words that, if removed, would make the label uncertain.
Rule 3	Each phrase should be 3–12 words. Do not copy entire sentences; do not truncate to a single keyword.

Rule 4	If fewer than 1 strong phrase exists, the classification is likely wrong. Re-examine.
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evidence — Examples by Classification Level

Level	Assigned Label	Source Text (excerpt)	evidence
Contract Type	NDA	"Each Party agrees to hold the other Party's Confidential Information in strict confidence and not to disclose such information to any third party."	["hold in strict confidence", "not to disclose to any third party", "Confidential Information"]
Contract Type	Employment	"Employee's base salary shall be \$180,000. Employee is eligible for health benefits and shall report to the CTO."	["base salary", "eligible for health benefits", "shall report to the CTO"]
Clause Type	Payment Terms	"Client shall pay a monthly fee of \$15,000 due within 30 days of invoice. Late payments accrue interest at 1.5% per month."	["monthly fee of \$15,000", "due within 30 days of invoice", "interest at 1.5% per month"]
Clause Type	Cap on Liability	"In no event shall either party's aggregate liability exceed the fees paid in the preceding twelve months."	["aggregate liability exceed", "fees paid in the preceding twelve months"]
Entity	Amount → 15000 USD	"monthly retainer fee of \$15,000 USD"	["\$15,000 USD"]
Entity	Jurisdiction → New York, USA	"governed by the laws of the State of New York"	["laws of the State of New York"]

3.4 Populating ambiguity_flags

Rule 1	Use 0 flags when the label is clear-cut. Do not manufacture ambiguity.
Rule 2	Use 1–2 flags when a genuine alternative label was considered. Each flag must name the alternative label and state why it was considered.
Rule 3	Format: "Could be [Alternative Label]: [reason in one clause]"
Rule 4	Maximum 2 flags per classification. If more than 2 alternatives exist, the sample should be escalated per Section 7.2.

ambiguity_flags — Examples

Level	Assigned Label	Situation	ambiguity_flags
Contract Type	MSA	Document is titled 'Professional Services Agreement' and contains one specific project with deliverables	["Could be SOW: document contains specific deliverables and milestones typical of a SOW, though general legal terms dominate"]
Contract Type	SaaS / License	Agreement covers both software access and significant professional services implementation	["Could be MSA: substantial professional services scope alongside the license grant"]

Level	Assigned Label	Situation	ambiguity_flags
Clause Type	Payment Terms	Clause specifies a minimum annual spend and also defines payment schedule	["Could be Minimum Commitment: clause also sets a minimum annual purchase threshold"]
Clause Type	Termination for Convenience	Clause allows termination without cause but only after a 90-day cure period for a specific set of events	["Could be Termination for Cause: the 90-day cure period suggests cause-based framing despite convenience language"]
Entity	Duration → 24 months	Text says "two (2) years" — could be 24 months or calendar years depending on start date	["Could be 730 days: agreement uses calendar years; ambiguous whether partial years are prorated"]
Entity	Payment Schedule → net-30	"Payment shall be made within 30 days of the invoice date or delivery, whichever is later"	["Could be milestone: payment trigger is dual-condition (invoice date OR delivery); not a pure net-30"]

3.5 Output Schema

Both fields are included in the model output JSON at all three classification levels. The schema below shows their placement:

```
{
  "contract_type": {
    "label": "MSA",
    "confidence": 0.94,
    "evidence": ["master services agreement governs all services", "references statements of work", "order of precedence clause present"],
    "ambiguity_flags": []
  },
  "clauses": [
    {
      "clause_type": "Payment Terms",
      "span": [1420, 1695],
      "confidence": 0.91,
      "evidence": ["monthly fee of $15,000", "due within 30 days of invoice"],
      "ambiguity_flags": ["Could be Minimum Commitment: clause also states a minimum annual spend"],
      "entities": {
        "amount": { "value": 15000, "currency": "USD", "frequency": "monthly",
          "evidence": ["$15,000 USD"], "ambiguity_flags": [] },
        "due_date_rule": { "value": "net-30",
          "evidence": ["30 days of invoice"], "ambiguity_flags": [] }
      }
    }
  ]
}
```

i The span field [start, end] gives character offsets in the source text. confidence is a float 0–1 from the model. evidence and ambiguity_flags are populated by annotators during training-data creation and by the model at inference time.

4. Contract Type Classification

For each contract type below, a card defines the primary and secondary identification signals, a positive example text, common confusions, and edge cases.

i Color coding: Green = positive signals · Red = confusion / negative · Yellow = edge cases / notes

4.1 NDA — Non-Disclosure Agreement

Aspect	Detail
Purpose	Restricts disclosure of confidential information shared between parties. Typically signed before substantive business discussions begin.
Primary Signals	1. Title contains: "Non-Disclosure", "NDA", "Confidentiality Agreement", "Mutual NDA" 2. Opening clause defines "Confidential Information" extensively 3. Core obligation: "shall not disclose" / "shall keep confidential" 4. No payment or service delivery terms present
Secondary Signals	1. Short document: typically 2–6 pages 2. One or both parties may disclose (unilateral vs. mutual) 3. Survival clause states confidentiality obligation continues after termination (often 3–5 years) 4. Common in pre-engagement, M&A due diligence, hiring discussions
Positive Example	"Each Party agrees to hold the other Party's Confidential Information in strict confidence and not to disclose such Confidential Information to any third party without the prior written consent of the disclosing Party."
Do not confuse with: MSA	An MSA may contain a Confidentiality section — classify at document level. If the document also governs services, IP, and payment, it is an MSA, not an NDA.
Do not confuse with: DPA	A DPA governs the processing of personal data under privacy law; an NDA governs general business confidentiality. A DPA will reference GDPR / data subjects — an NDA will not.
Do not confuse with: Employment	Employment agreements include an NDA section but also contain compensation, job title, and at-will clauses. Classify as Employment if these are present.
Edge Cases	1. One-way NDA where only one party discloses: still classify as NDA. 2. NDA embedded as Exhibit A in an MSA: classify the exhibit as NDA, the parent as MSA.

4.2 MSA — Master Service Agreement

Aspect	Detail
Purpose	Establishes the overarching legal framework for a long-term service relationship. Governs all future Statements of Work without repeating boilerplate terms.
Primary Signals	1. Title contains: "Master Service Agreement", "Master Services Agreement", "MSA", "Master Agreement" 2. Explicitly references "Statements of Work" or "Order Forms" as child documents 3. Includes comprehensive commercial terms: payment, IP, liability, indemnification 4. Broad service scope defined generically, not project-specifically
Secondary Signals	1. Longer document: typically 10–30 pages 2. Contains "Order of Precedence" clause (MSA governs over SOW in case of conflict)

	3. Governing Law, Dispute Resolution, Anti-Assignment, Change of Control all present 4. No specific deliverable list, milestones, or project budget
Positive Example	"This Master Services Agreement governs all services provided by Service Provider to Client. The specific services, deliverables, timelines, and fees for each engagement shall be set forth in separate Statements of Work executed hereunder."
Do not confuse with: SOW	An MSA defines generic terms; a SOW defines specific project deliverables. If the document lists milestones, budgets, and deliverables AND references a parent MSA, classify as SOW.
Do not confuse with: SaaS/License	A SaaS agreement may look like an MSA. If the primary subject is a software platform with a license grant and subscription fee — not professional services — classify as SaaS/License.
Do not confuse with: Purchasing	Purchasing agreements govern goods/products. If the subject is physical goods or perpetual software with no ongoing service delivery, classify as Purchasing.
Edge Cases	1. Combined MSA+SOW in a single document: classify as MSA if general terms dominate; note the SOW content. 2. Professional Services Agreement (PSA): functionally equivalent to MSA — classify as MSA.

4.3 SOW — Statement of Work

Aspect	Detail
Purpose	A child document executed under an MSA that defines the specific scope, deliverables, timeline, and cost of a single engagement.
Primary Signals	1. Title contains: "Statement of Work", "SOW", "Work Order", "Project Order", "Schedule" 2. References a parent "Master Agreement", "MSA", or "Master Services Agreement" 3. Contains a specific deliverable list, milestones, or project phases 4. Includes a project-specific budget or fee schedule
Secondary Signals	1. Short document: typically 2–10 pages 2. States that general terms are governed by the parent MSA 3. Contains project start date and end date 4. May include acceptance criteria for deliverables
Positive Example	"This Statement of Work is incorporated into and governed by the Master Services Agreement dated January 1, 2024. Deliverables: (1) Requirements Document by Feb 28; (2) Prototype by April 15; (3) Final Release by June 30. Total Fee: \$120,000."
Do not confuse with: MSA	A SOW references a parent MSA and is project-specific. If no parent agreement is referenced and the document contains general legal terms, it is more likely an MSA or standalone services agreement.
Do not confuse with: Change Order	A Change Order modifies an existing SOW. If the document references a 'Change to SOW #X' or modifies scope/budget of an existing engagement, classify separately.
Edge Cases	1. SOW with embedded NDA: classify as SOW; note the confidentiality provision separately. 2. First SOW that also contains MSA-level terms: classify as MSA.

4.4 Purchasing — Purchasing / Procurement Agreement

Aspect	Detail
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Purpose	Governs the purchase of goods or services at defined prices and volumes. Focuses on delivery, acceptance, and pricing of tangible products or bulk services.
Primary Signals	1. Title contains: "Purchase Agreement", "Supply Agreement", "Procurement Agreement", "Purchase Order" 2. References "goods", "products", "items", "units", "SKU", "delivery" 3. Includes unit pricing, quantity, and delivery schedule 4. Contains acceptance / inspection and rejection procedures
Secondary Signals	1. Warranty on products (not services) 2. Shipping terms (Incoterms: FOB, CIF, DDP) 3. No license grant clause (distinguishes from SaaS/License) 4. May include volume discounts and minimum order quantities
Positive Example	"Buyer agrees to purchase from Seller 10,000 units of Product SKU-4421 at \$45.00 per unit, delivered DDP to Buyer's warehouse by March 31, 2024. Title and risk of loss transfer upon delivery."
Do not confuse with: SaaS/License	Purchasing involves physical goods or perpetual software (one-time fee, ownership transfer). SaaS involves recurring subscription access with no ownership transfer. Look for 'license' vs. 'title transfer'.
Do not confuse with: MSA	If the agreement is for ongoing services (not discrete goods deliveries), classify as MSA. Purchasing agreements have quantities, SKUs, and delivery terms.
Edge Cases	1. Software perpetual license sold as a product: classify as Purchasing if title/ownership transfers. 2. Framework supply agreement with no specific order: classify as Purchasing if the structure is product-oriented.

4.5 Employment — Employment Agreement

Aspect	Detail
Purpose	Formalizes the legal relationship between an employer and an employee, covering compensation, role, benefits, and termination terms.
Primary Signals	1. Title contains: "Employment Agreement", "Offer Letter", "Employment Contract" 2. One party is an individual person (the employee), not a company 3. Contains job title, role description, and reporting structure 4. Specifies salary/wage, bonus, and benefits (health, vacation, equity)
Secondary Signals	1. References to "at-will employment" or notice period for termination 2. Includes work location and hours 3. References employer's right to withhold taxes 4. Contains non-compete, non-solicit, and IP assignment for employee-created work
Positive Example	"The Company hereby employs Employee as Senior Software Engineer, reporting to the CTO. Employee's base salary shall be \$180,000 per year, payable bi-weekly. Employee is eligible for the Company's standard health and dental benefits."
Do not confuse with: Contractor	Employment explicitly states an employer-employee relationship and includes benefits, taxes withheld by employer, and often at-will language. Contractor agreements explicitly state the party is NOT an employee and is responsible for own taxes.
Do not confuse with: MSA	A staffing agency MSA governs placement of workers but is not itself an employment agreement. The individual employment relationship is a separate document.
Edge Cases	1. Executive Employment Agreement: same classification; typically longer with severance and equity provisions. 2. Offer letter without full agreement: classify as Employment if it contains

	compensation and role terms.
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4.6 Contractor — Independent Contractor Agreement

Aspect	Detail
Purpose	Engages a self-employed individual or firm for specific services while explicitly preserving their non-employee status.
Primary Signals	1. Title contains: "Independent Contractor Agreement", "Consulting Agreement", "Freelance Agreement", "Contractor Agreement" 2. Explicitly states: "Contractor is an independent contractor and not an employee" 3. Contractor is responsible for own taxes, insurance, and benefits 4. No benefits, no at-will language, no HR policy references
Secondary Signals	1. Payment is per-project, hourly, or milestone-based (not salary) 2. Contractor may work for other clients simultaneously 3. Strong IP assignment clause (work-for-hire) 4. Non-compete and non-solicit clauses common but shorter in duration
Positive Example	"Contractor shall perform the Services as an independent contractor. Nothing in this Agreement shall be construed to create an employment relationship. Contractor is solely responsible for all taxes, insurance, and benefits."
Do not confuse with: Employment	The key discriminator is the explicit denial of employment status and self-payment of taxes. If the agreement mentions benefits, payroll, or at-will employment, classify as Employment.
Do not confuse with: MSA	A Contractor agreement is between a company and an individual (or solo firm). An MSA is between two business entities for ongoing services. Look for individual vs. company as the service provider.
Edge Cases	1. Consulting firm providing a team of contractors: if the counterparty is a firm (not an individual), classify as MSA. 2. Contractor agreement that looks like an offer letter: explicit 'not an employee' language overrides.

4.7 SaaS/License — SaaS / Software License Agreement

Aspect	Detail
Purpose	Grants the right to access or use software under defined terms. SaaS involves subscription access to a hosted platform; license agreements may be perpetual.
Primary Signals	1. Title contains: "SaaS Agreement", "Software License Agreement", "Subscription Agreement", "EULA", "Terms of Service" 2. Contains a License Grant clause (e.g., "grants a limited, non-exclusive license to access the Platform") 3. References subscription fee, seat-based or usage-based pricing 4. Includes Uptime SLA, support tiers, and acceptable use policy
Secondary Signals	1. IP ownership explicitly retained by vendor 2. Data privacy and security provisions (often includes DPA) 3. Source code escrow for perpetual licenses 4. Automatic renewal with annual pricing adjustment
Positive Example	"Provider grants Customer a limited, non-exclusive, non-transferable right to access and use the Platform during the Subscription Term solely for Customer's internal business purposes. The Platform is provided as a hosted service; no software is delivered to

	Customer."
Do not confuse with: MSA	A SaaS agreement has a license grant as its core; an MSA for a software services company may look similar but focuses on professional services delivery. If a license grant is the primary right being granted, classify as SaaS/License.
Do not confuse with: Purchasing	Purchasing involves ownership transfer. SaaS/License involves usage rights only. 'License to use' vs. 'title transfers to buyer' is the key phrase.
Edge Cases	1. Open-source license (MIT, Apache): classify as SaaS/License; note open-source type. 2. API access agreement: classify as SaaS/License. 3. Hybrid SaaS + professional services: classify by the dominant subject matter.

4.8 DPA — Data Processing Agreement

Aspect	Detail
Purpose	Governs the processing of personal data by one party (Processor) on behalf of another (Controller), ensuring compliance with GDPR and similar privacy regulations.
Primary Signals	1. Title contains: "Data Processing Agreement", "Data Processing Addendum", "DPA" 2. Defines roles: "Data Controller" and "Data Processor" (or "Controller" / "Processor") 3. References GDPR, CCPA, or other privacy regulation explicitly 4. Contains a description of processing activities and categories of personal data
Secondary Signals	1. Provisions for Data Subject rights (access, erasure, portability) 2. Sub-processor approval and notification requirements 3. Data retention and deletion schedule 4. Cross-border transfer mechanisms (SCCs, BCRs) 5. Often structured as an addendum or exhibit to a SaaS or MSA
Positive Example	"Processor shall process Personal Data only on documented instructions from Controller. Processing activities covered by this DPA are described in Annex I. Processor shall implement appropriate technical and organizational measures per Article 32 of the GDPR."
Do not confuse with: NDA	Both protect information, but a DPA is specifically about personal data processing rights under privacy law. An NDA says 'do not disclose'; a DPA says 'you may process this data, subject to these rules'. If GDPR / data subjects are mentioned, it is a DPA.
Do not confuse with: MSA	A DPA is typically a short addendum attached to an MSA or SaaS agreement. Classify the parent as MSA/SaaS and the addendum as DPA separately.
Edge Cases	1. HIPAA Business Associate Agreement (BAA): functionally equivalent for US healthcare; classify as DPA. 2. DPA embedded in a SaaS agreement as a section: classify the parent as SaaS/License; note the embedded DPA.

4.9 Partnership — Partnership / Teaming Agreement

Aspect	Detail
Purpose	Defines the terms of a joint business relationship where both parties contribute resources, revenue, or market access toward a shared goal.
Primary Signals	1. Title contains: "Partnership Agreement", "Alliance Agreement", "Teaming Agreement", "Reseller Agreement", "Referral Agreement", "Joint Venture Agreement" 2. Both parties have active obligations (not one serving the other) 3. Contains revenue sharing, referral fees, or commission structure

	4. References go-to-market activities, co-selling, or joint marketing
Secondary Signals	1. ROFR/ROFO clause for future investment or acquisition 2. Defines territory and exclusivity for each partner 3. Branding and co-marketing guidelines 4. Non-compete scoped to the partnership domain
Positive Example	"The parties agree to jointly market and sell the combined solution within the Territory. Referral fees of 15% of Net Revenue shall be paid by the selling party to the referring party within 30 days of customer payment."
Do not confuse with: MSA	In an MSA, one party is the service provider and the other is the client. In a Partnership, both parties have roughly equivalent obligations. Look for mutual contribution and revenue sharing vs. unidirectional service delivery.
Do not confuse with: Employment / Contractor	A partnership is between two businesses. If one party is an individual providing labor, classify as Employment or Contractor.
Edge Cases	1. OEM agreement: classify as Partnership if there is co-branding and revenue sharing; as Purchasing if it is simply a bulk product purchase. 2. Channel partner agreement: classify as Partnership.

5. Clause Type Classification

Clauses are organized into 8 functional groups. For each clause, a card defines identification signals, positive and negative examples, and edge cases.

Group 1 — Identity & Dates

These clauses establish who the parties are and the key dates governing the agreement. They are present in virtually every contract type and provide the foundational metadata for the agreement.

Parties

Aspect	Detail
Identification Signals	1. Full legal entity names in the opening recitals: "between [Name], a [type] corporation..." 2. Roles assigned: "Client", "Provider", "Buyer", "Seller", "Employer", "Employee" 3. Registered address or principal place of business stated
Positive Example	"This Agreement is entered into by and between Acme Corp, a Delaware corporation ("Client"), and TechSolutions Ltd, a company incorporated in England and Wales ("Provider")."
Negative Example (not this clause)	A "Notices" section listing contact addresses — this is not a Parties clause; it defines where to send legal notices, not who the parties are.
Edge Cases	1. Subsidiaries or affiliates named as contracting party: extract the named entity, not the parent. 2. DBA names: extract both legal name and DBA. Format: "Acme Corp (dba FastBuild)".

Agreement Date

Aspect	Detail
Identification Signals	1. "entered into as of [date]" 2. "dated [date]" 3. Date in the opening sentence of the contract
Positive Example	"This Master Service Agreement is entered into as of January 12, 2024."
Negative Example (not this clause)	A date in a signature block — that is the execution date, which may differ from the agreement date.
Edge Cases	1. "As of" date vs. actual signing date: extract the "as of" date as Agreement Date. 2. "Undated" contracts: mark as null; do not infer from context.

Effective Date

Aspect	Detail
Identification Signals	1. "effective date" 2. "commencing on" 3. "shall take effect on" 4. May equal Agreement Date or be a future/conditional date
Positive Example	"This Agreement shall become effective on the date last signed by both parties (the Effective Date)."
Negative Example (not this clause)	"Commencement Date" in a SOW referring to when project work begins — that is a project start date, not an Effective Date for the agreement itself.
Edge Cases	1. Conditional Effective Date ("upon receipt of deposit"): extract the condition, not a null. 2. If not stated separately, Effective Date = Agreement Date.

Expiration Date

Aspect	Detail
Identification Signals	1. "shall expire on" 2. "initial term of X months/years" 3. "term shall commence... and continue until"
Positive Example	"The initial term of this Agreement shall commence on the Effective Date and expire on December 31, 2025."
Negative Example (not this clause)	A renewal date or notice deadline — these relate to renewal, not the initial expiration.
Edge Cases	1. "Evergreen" agreements with no expiry: mark as null, note "evergreen". 2. Expiration date derived from term length: calculate and extract the absolute date.

Governing Law

Aspect	Detail
Identification Signals	1. "governed by the laws of" 2. "construed in accordance with the laws of" 3. "jurisdiction of [state/country]"

Positive Example	"This Agreement shall be governed by and construed in accordance with the laws of the State of New York, without regard to its conflict of laws provisions."
Negative Example (not this clause)	A choice of arbitration venue — that is part of Dispute Resolution, not Governing Law (though they often appear in the same clause).
Edge Cases	1. Multiple jurisdictions named for different parties: extract all jurisdictions. 2. "Without regard to conflict of laws": extract this qualifier separately.

Group 2 — Commercial Terms

Commercial clauses define the financial relationship. Payment Terms is the most frequently extracted and most commonly confused clause in this group. All monetary entities should be normalized to a numeric value + ISO currency code.

Payment Terms

Aspect	Detail
Identification Signals	1. "shall pay" 2. "invoiced amount" 3. "payment due" 4. "net 30 / net 60" 5. "monthly fee", "annual fee" 6. Any specification of an amount owed and when it is due
Positive Example	"Client shall pay Provider a monthly fee of \$15,000 USD, due within 30 days of invoice date. Payments not received within 30 days shall accrue interest at 1.5% per month."
Negative Example (not this clause)	"Liquidated Damages" clause specifying a penalty amount — that is a separate clause type, not Payment Terms.
Edge Cases	1. Milestone-based payments: extract each milestone amount + trigger separately. 2. "Payment on demand": extract as due_date = "on demand". 3. Multi-currency agreements: extract each currency separately.

Price Restrictions

Aspect	Detail
Identification Signals	1. "price shall not exceed" 2. "price adjustment" 3. "CPI escalation" 4. "most favored pricing" 5. "fixed price"
Positive Example	"The fees set forth herein may be adjusted annually by no more than the lesser of 3% or the change in the Consumer Price Index."
Negative Example (not this clause)	A Payment Terms clause that simply states a fixed price without any restriction or adjustment mechanism — that is Payment Terms, not Price Restrictions.
Edge Cases	1. Price freeze clauses: classify as Price Restrictions with direction = "freeze". 2. Volume-based pricing tiers: may overlap with Volume Restriction — extract both.

Most Favored Nation

Aspect	Detail
Identification Signals	1. "most favored nation" 2. "MFN" 3. "no less favorable terms than" 4. "best available pricing"
Positive Example	"Provider represents that the fees charged to Client are no less favorable than those charged to any other similarly situated customer for comparable services."
Negative Example (not this clause)	A general "fair dealing" clause or good-faith obligation — these do not constitute an MFN guarantee.
Edge Cases	1. MFN with a cure period ("Provider shall notify Client within 30 days and match pricing"): extract cure period as entity.

Group 3 — Duration & Exit

These clauses govern the lifecycle of the agreement. Notice period extraction is critical for operational alerting — extract the period length and the method of delivery separately.

Renewal Term

Aspect	Detail
Identification Signals	1. "shall automatically renew" 2. "renewal term" 3. "successive terms of" 4. "unless either party provides notice of non-renewal"
Positive Example	"Upon expiration of the Initial Term, this Agreement shall automatically renew for successive one-year periods unless either party provides written notice of non-renewal at least 60 days prior to the end of the then-current term."
Negative Example (not this clause)	"Term" clause defining the initial contract duration — that defines the initial term, not the renewal mechanism.
Edge Cases	1. Manual renewal ("may be renewed by mutual written agreement"): classify as Renewal Term with type = "manual". 2. Evergreen with no renewal notice: classify as Renewal Term with type = "evergreen".

Termination for Convenience

Aspect	Detail
Identification Signals	1. "may terminate this Agreement at any time" 2. "without cause" 3. "for convenience" 4. "upon X days' written notice"
Positive Example	"Either party may terminate this Agreement for any reason or no reason upon 30 days' prior written notice to the other party."
Negative Example (not this clause)	"Termination for Cause" clause requiring a material breach — that is a different clause. Termination for Convenience requires no cause or breach.
Edge Cases	1. Asymmetric termination rights (only one party can terminate for convenience):

- extract which party holds the right.
2. Termination fees on early exit: extract amount as a separate entity.

Post-Termination Services

Aspect	Detail
Identification Signals	1. "transition assistance" 2. "wind-down period" 3. "survival" 4. "obligations surviving termination" 5. "shall continue for X days after termination"
Positive Example	"Upon termination, Provider shall provide up to 90 days of transition assistance at Provider's then-current rates to facilitate Client's migration to an alternative provider."
Negative Example (not this clause)	A general Survival clause listing which provisions survive termination (e.g., confidentiality, IP) — that is a Survival clause, not Post-Termination Services.
Edge Cases	1. Data return/deletion obligations post-termination: extract as a sub-entity of this clause.

Group 4 — Liability & Risk

Liability clauses are among the most heavily negotiated. The key distinction between Cap on Liability, Uncapped Liability, and Indemnification is frequently confused. Caps and carve-outs must be extracted precisely.

Indemnification

Aspect	Detail
Identification Signals	1. "shall indemnify, defend, and hold harmless" 2. "indemnifying party" 3. "indemnified losses" 4. "claims arising from"
Positive Example	"Provider shall indemnify, defend, and hold harmless Client from any third-party claims arising from Provider's infringement of a third party's intellectual property rights."
Negative Example (not this clause)	"Limitation of Liability" clause — that limits the amount of damages; Indemnification defines who must cover whose losses. Both may appear in the same section.
Edge Cases	1. Mutual indemnification (each party indemnifies the other): extract both indemnification obligations. 2. Indemnification carve-outs: extract exclusions as separate entities.

Cap on Liability

Aspect	Detail
Identification Signals	1. "in no event shall... liability exceed" 2. "aggregate liability... shall not exceed" 3. "capped at" 4. "limited to fees paid in the preceding X months"
Positive Example	"In no event shall either party's aggregate liability under this Agreement exceed the total fees paid or payable by Client to Provider in the twelve (12) months preceding the claim."

Negative Example (not this clause)	"Exclusion of consequential damages" — this excludes types of damages, not the total amount. Extract separately as part of the same section.
Edge Cases	1. Per-incident cap vs. aggregate cap: extract both if present. 2. Cap expressed as a fixed dollar amount vs. fees-paid formula: extract both types.

Uncapped Liability

Aspect	Detail
Identification Signals	1. "notwithstanding the foregoing" 2. "the following shall not be subject to the cap" 3. "unlimited liability for" 4. Carve-out list following a liability cap clause
Positive Example	"Notwithstanding Section 12.2, the liability cap shall not apply to (i) breach of confidentiality obligations, (ii) gross negligence or wilful misconduct, or (iii) infringement of intellectual property rights."
Negative Example (not this clause)	The liability cap itself — Uncapped Liability refers specifically to the carve-outs from the cap, not the cap clause itself.
Edge Cases	1. IP breach as a carve-out is extremely common — always extract when present. 2. Death/personal injury as carve-out: always uncapped under many jurisdictions.

Force Majeure

Aspect	Detail
Identification Signals	1. "force majeure" 2. "act of God" 3. "beyond the reasonable control of" 4. "performance excused" 5. "pandemic", "war", "natural disaster"
Positive Example	"Neither party shall be liable for any failure or delay in performance resulting from causes beyond its reasonable control, including acts of God, war, terrorism, pandemic, or government action ("Force Majeure Event")."
Negative Example (not this clause)	"Termination for Convenience" — while Force Majeure may trigger a right to terminate after an extended period, the core clause excuses performance, not terminates the agreement.
Edge Cases	1. Extended Force Majeure termination right: extract trigger period (e.g., "if FM Event continues for more than 60 days") separately.

Group 5 — Confidentiality & Data

Confidentiality and data privacy are distinct obligations. Confidentiality protects business information; data privacy governs personal data processing rights. Do not conflate them.

Confidentiality / NDA

Aspect	Detail
Identification Signals	1. "confidential information" 2. "shall not disclose" 3. "proprietary"

	"trade secret" "need to know"
Positive Example	"Each party agrees to maintain in confidence all Confidential Information of the other party and not to disclose such information to any third party without prior written consent. This obligation shall survive termination for a period of five (5) years."
Negative Example (not this clause)	"Data Privacy / GDPR" clause — confidentiality restricts disclosure of business information; data privacy governs rights over personal data of individuals.
Edge Cases	- Carve-outs to confidentiality (publicly available information, required by law): extract as exclusions. - Residuals clause ("may use information retained in unaided memory"): extract as a carve-out.

Data Privacy / GDPR

Aspect	Detail
Identification Signals	"personal data" "data subject" "GDPR" "CCPA" "data controller" "data processor" "processing activities"
Positive Example	"To the extent Provider processes Personal Data on behalf of Client in connection with the Services, the terms of the Data Processing Agreement (Exhibit C) shall apply and are incorporated herein by reference."
Negative Example (not this clause)	A confidentiality clause that mentions "data" in the general sense — look for "personal data", "data subjects", or specific regulatory references to identify a data privacy clause.
Edge Cases	- HIPAA BAA: classify as Data Privacy; note "HIPAA" in the regulatory_framework entity. - DPA embedded as exhibit: extract both the reference clause and the exhibit separately.

Group 6 — Intellectual Property

IP clauses determine who owns what was created. The most critical distinction is between a License Grant (usage rights retained by licensor) and IP Ownership Assignment (title transfers to assignee). These are mutually exclusive for a given piece of IP.

IP Ownership Assignment

Aspect	Detail
Identification Signals	"assigns" "work made for hire" "all right, title and interest" "irrevocably assign" "vests in"
Positive Example	"Contractor hereby irrevocably assigns to Company all right, title, and interest in and to all work product, inventions, and deliverables created by Contractor in connection with the Services."

Negative Example (not this clause)	"License Grant" — a license gives usage rights without transferring ownership. "Assigns all rights" vs. "grants a license" is the key distinction.
Edge Cases	1. Background IP carve-out (pre-existing IP excluded from assignment): extract as an exclusion entity. 2. "Work made for hire" under US copyright law: classify as IP Ownership Assignment.

License Grant

Aspect	Detail
Identification Signals	1. "grants... a license" 2. "right to use" 3. "limited, non-exclusive" 4. " sublicense" 5. "field of use"
Positive Example	"Provider grants Client a limited, non-exclusive, non-transferable license to use the Software solely for Client's internal business purposes during the Subscription Term."
Negative Example (not this clause)	"IP Ownership Assignment" — a license does not transfer ownership. If the clause says "assigns all right, title and interest", it is an assignment, not a license.
Edge Cases	1. Exclusive license in a specific field: extract exclusivity=true and field_of_use entity. 2. Implied license: do not extract; only extract explicitly stated license grants.

Source Code Escrow

Aspect	Detail
Identification Signals	1. "escrow" 2. "escrow agent" 3. "release of source code" 4. "insolvency" 5. "end of life"
Positive Example	"Provider shall deposit the source code for the Software with a mutually agreed escrow agent. The escrow agent shall release the source code to Client upon Provider's insolvency, acquisition, or discontinuation of the Software."
Negative Example (not this clause)	A general backup or disaster recovery provision — escrow specifically involves a neutral third-party holding source code for release upon trigger events.
Edge Cases	1. Escrow update frequency obligation: extract as a separate entity (e.g., "updated within 30 days of each major release").

Group 7 — Restrictive Covenants

Restrictive covenants limit future behavior. Geographic scope and duration are the most legally significant extracted entities. In many jurisdictions, overly broad covenants are unenforceable — flag geographic_scope = 'worldwide' and duration > 24 months for legal review.

Non-Compete

Aspect	Detail
Identification Signals	1. "shall not compete"

	2. "shall not engage in" 3. "competing business" 4. "during the term and for X months after"
Positive Example	"During the term of this Agreement and for a period of 12 months thereafter, Employee shall not directly or indirectly engage in any business that competes with the Company's core software products within North America."
Negative Example (not this clause)	"No-Solicit of Customers" — non-compete restricts entering a competing industry; no-solicit restricts approaching the other party's customers. Both may coexist.
Edge Cases	1. Non-compete with no geographic limit: flag geographic_scope = null, note potential unenforceability. 2. Garden leave clause: extract as a Post-Termination Services entity, not Non-Compete.

No-Solicit of Employees

Aspect	Detail
Identification Signals	1. "shall not solicit" 2. "recruit" 3. "hire" 4. "induce to leave" 5. employees of the other party
Positive Example	"During the term and for 24 months following termination, neither party shall directly solicit for employment any employee of the other party who was involved in the performance of this Agreement."
Negative Example (not this clause)	"General job posting" carve-out ("does not apply to general advertisements") — extract this as an exception entity rather than a separate clause.
Edge Cases	1. Mutual vs. one-way no-solicit: extract which parties are bound.

Group 8 — Governance & Operations

Governance clauses define how the contract operates and how disputes are resolved. Dispute Resolution method extraction is critical — arbitration, mediation, and litigation have very different enforcement implications.

Dispute Resolution

Aspect	Detail
Identification Signals	1. "dispute" 2. "arbitration" 3. "mediation" 4. "AAA" 5. "ICC" 6. "JAMS" 7. "binding arbitration" 8. "courts of"
Positive Example	"Any dispute arising out of or relating to this Agreement shall be resolved by binding arbitration under the AAA Commercial Arbitration Rules in New York, New York. The award shall be final and enforceable in any court of competent jurisdiction."
Negative Example	"Governing Law" clause — governing law specifies which jurisdiction's law applies; dispute

(not this clause)	resolution specifies the method and venue for resolving disputes. They often appear together but are separate clauses.
Edge Cases	1. Tiered dispute resolution (negotiation → mediation → arbitration): extract each tier. 2. "Class action waiver": extract as a sub-entity of arbitration clause.

Change of Control

Aspect	Detail
Identification Signals	1. "change of control" 2. "acquisition" 3. "merger" 4. "majority of shares" 5. "assignment by operation of law"
Positive Example	"In the event of a Change of Control of either party, the other party may terminate this Agreement upon 30 days' written notice. A Change of Control means any transaction resulting in a third party acquiring more than 50% of the voting shares."
Negative Example (not this clause)	"Anti-Assignment" clause — anti-assignment restricts voluntary transfers; change of control addresses involuntary transfers through corporate transactions. They often appear in the same section.
Edge Cases	1. Consent-based change of control (vs. termination right): extract whether consent or termination right is the remedy.

Audit Rights

Aspect	Detail
Identification Signals	1. "right to audit" 2. "inspection" 3. "books and records" 4. "compliance audit" 5. "upon reasonable notice"
Positive Example	"Client shall have the right, upon 30 days' prior written notice and no more than once per calendar year, to audit Provider's records relevant to Provider's performance under this Agreement."
Negative Example (not this clause)	A general reporting obligation ("Provider shall provide quarterly reports") — reporting is a delivery obligation, not an audit right.
Edge Cases	1. Cost allocation: who pays for the audit? Extract payer entity. 2. Audit trigger (only on suspected breach vs. routine): extract trigger type.

SLA / Service Levels

Aspect	Detail
Identification Signals	1. "service level" 2. "SLA" 3. "uptime" 4. "availability" 5. "response time" 6. "service credit" 7. "KPI"

Positive Example	"Provider guarantees 99.9% monthly Uptime. If Uptime falls below 99.9% in any calendar month, Client shall be entitled to a Service Credit equal to 10% of monthly fees for each 0.1% below the threshold."
Negative Example (not this clause)	"Warranty Duration" clause — a warranty guarantees the quality of a deliverable at delivery; an SLA is an ongoing performance commitment with ongoing measurement and credits.
Edge Cases	1. SLA exclusions (scheduled maintenance, force majeure): extract exclusion list. 2. Termination right for persistent SLA failure: extract threshold (e.g., "3 consecutive months below SLA").

6. Entity Extraction

Entities are structured data points extracted from identified clauses. Each entity has a defined format and normalization rule. Raw text strings are not valid entity values — always apply normalization.

i When a clause is identified, attempt to extract all entities listed for that clause type in the Taxonomy Reference. Mark missing entities as null, not empty string.

Parties & Identity Entities

Entity	Format	Normalization	Example	Edge Cases
Party Name	String — full legal name as written in the agreement	Do not abbreviate. Include legal suffix (Inc., LLC, Ltd., GmbH).	"TechSolutions Ltd" → "TechSolutions Ltd"	DBA: extract as "Acme Corp dba FastBuild". Parent/subsidiary: extract the named contracting entity, not the ultimate parent.
Party Role	Enum: Client Provider Buyer Seller Employer Employee Licensor Licensee Controller Processor Partner	Use the role as defined in the agreement definitions section. If no formal role is defined, infer from context.	"Acme Corp (the \"Client\")" → role = "Client"	If a party has multiple roles (e.g., both Client and Licensor), extract all applicable roles.
Legal Entity Type	Enum: Corporation LLC Partnership LLP Ltd GmbH PLC Individual Other	Map local entity types to the nearest enum value. 'S.A.S.' → Corporation.	"a Delaware corporation" → "Corporation"	Sole proprietors / individuals: use "Individual".
Jurisdiction of Inc.	String — state or country	Use full name, not abbreviation: 'Delaware' not 'DE', 'England and Wales' not 'UK'.	"incorporated in Delaware" → "Delaware, USA"	Dual jurisdictions: extract both.

Date Entities

Entity	Format	Normalization	Example	Edge Cases
Date (general)	ISO 8601: YYYY-MM-DD	Convert all formats: 'January 12, 2024' → '2024-01-12', '12/01/24' → resolve ambiguity from context (US = MM/DD vs. UK = DD/MM).	"as of January 12, 2024" → "2024-01-12"	"As of the last date signed": extract null + note "conditional on execution". Undated: extract null.
Duration	Number + Unit: "24 months", "2 years", "90 days"	Standardize to the unit used in the agreement. Do not convert (e.g., do not convert "2 years" to "24 months" unless specified).	"for a period of twenty-four (24) months" → "24 months"	"Perpetual" or "indefinite": extract as null + flag perpetual = true. Event-based ("until completion of the project"): extract the trigger event as text.

Monetary Entities

Entity	Format	Normalization	Example	Edge Cases
Amount	Numeric value + ISO 4217 currency code: 15000 USD	Remove commas and currency symbols. '\$15,000' → 15000 USD. '€50.000' → 50000 EUR. For written numbers: 'fifteen thousand dollars' → 15000 USD.	"monthly fee of \$15,000 USD" → {amount: 15000, currency: "USD", frequency: "monthly"}	Ranges ("between \$10,000 and \$50,000"): extract min and max. "Not to exceed \$X": extract as max_amount.
Interest Rate	Percentage per period: e.g., '1.5% per month'	Extract rate and period separately. Do not annualize.	"1.5% per month" → {rate: 1.5, period: "month"}	"Prime rate + 2%": extract as formula, not a fixed rate.
Payment Schedule	Enum: one-time monthly quarterly annual milestone net-30 net-60 on-demand	If multiple schedules exist (e.g., upfront + monthly), extract all.	"due within 30 days of invoice" → "net-30"	"Due on the 1st of each month" = monthly. "Upon execution" = one-time.

Geographic & Jurisdiction Entities

Entity	Format	Normalization	Example	Edge Cases
Jurisdiction	String: full state or country name	Use English full name. 'CA' → 'California, USA'. 'UK' → 'England and Wales' or 'Scotland' as specified.	"laws of the State of New York" → "New York, USA"	Federal law references ("laws of the United States"): extract as "USA (Federal)".
Geographic Scope	String: territory description or	Use the exact language from the	"within the European Union" → "European	"Except in countries where

Entity	Format	Normalization	Example	Edge Cases
	'Worldwide'	agreement. Flag 'Worldwide' for legal review in non-compete contexts.	Union"	prohibited": extract base scope, note the exception.

Operational Entities

Entity	Format	Normalization	Example	Edge Cases
Notice Period	Number + Unit: '30 days', '60 days'	Extract the period and delivery method (written, email, courier) separately.	"30 days' prior written notice" → {period: "30 days", method: "written"}	Different notice periods for different triggers: extract each separately with its trigger.
Liability Cap	Amount (absolute) OR formula string	For formula-based caps: extract as string (e.g., 'fees paid in preceding 12 months'). For fixed amounts: extract as numeric + currency.	"fees paid in the preceding 12 months" → {type: "formula", formula: "fees_paid_preceding_12_months"}	Per-incident cap + aggregate cap: extract both.
SLA Target	Metric name + target value + measurement period	Extract each SLA metric separately. Normalize percentages to 2 decimal places.	"99.9% monthly Uptime" → {metric: "uptime", target: 99.9, period: "monthly", unit: "%"}	Multiple SLA tiers (Gold/Silver/Bronze): extract each tier separately.
IP Category	Enum: Software Inventions Works Trademarks Data Other	Map from contract language: 'source code, documentation, and derivative works' → [Software, Works].	"all software, algorithms, and documentation" → ["Software", "Works"]	"Background IP" vs. "Foreground IP": tag accordingly.

7. Annotation Quality & Inter-Annotator Agreement

7.1 Target Agreement Thresholds

Contract Type	Cohen's Kappa ≥ 0.85 — high agreement expected; signals are explicit
Clause Type	Cohen's Kappa ≥ 0.80 — moderate ambiguity in multi-clause sections
Entity Values	Exact match ≥ 90% after normalization — format rules must be followed precisely
evidence	Overlap ≥ 1 matching phrase across annotators — exact match not required; semantic equivalence accepted
ambiguity_flags	Agreement on whether flags exist ≥ 0.75 Kappa — exact wording need not match

7.2 Escalation Rules

- If two annotators disagree on Contract Type: escalate to legal SME.
- If two annotators disagree on Clause Type and neither is 'Other': review both Section 5 cards for confusions; apply the one whose primary signal is most explicit.
- If entity normalization is ambiguous (e.g., ambiguous date format): default to null and add a note; do not guess.
- All 'Other' clause labels must include a plain-text description and be submitted for taxonomy review monthly.